

Full Doc Qualification

Occupancy	Primary and Second Home					Investment ²				
Loan Amount	FICO	Purchase	R&T / Debt Consolidation	C/O	Reserves	FICO	Purchase	R/T	C/O	Reserves
<= \$1,000,000	740+	90% ¹	85%	80%	3	740+	85%	85%	80%	3
	720	85%	85%	80%		720	85%	85%	80%	
	700	80%	80%	80%		700	80%	80%	80%	
	680	80%	80%	75%		680	75%	75%	75%	
	660	75%	75%	75%		660	75%	75%	75%	
	640	70%	70%	70%		640	75%	75%	60%	
						620	65%	65%	55%	
\$1,000,001 - \$1,500,000	720+	85%	85%	80%	6	720+	80%	80%	80%	6
	700	80%	80%	80%		700	80%	80%	80%	
	680	80%	80%	75%		680	75%	75%	75%	
	640	70%	70%	70%		660	70%	70%	70%	
\$1,500,001 - \$2,000,000	720+	80%	80%	80%	9	720+	80%	80%	80%	9
	700	80%	80%	80%		700	80%	80%	80%	
	680	80%	80%	75%		680	75%	75%	75%	
	640	70%	70%	70%		660	70%	70%	70%	
\$2,000,001 - \$2,500,000	720+	80%	80%	80%	9	720+	80%	80%	80%	9
	700	80%	80%	80%		700	80%	80%	80%	
	680	80%	80%	75%		680	75%	75%	75%	
	640	N/A	N/A	N/A		660	N/A	N/A	N/A	
\$2,500,001 - \$3,000,000	720+	75%	75%	75%	9	720+	75%	75%	75%	9
	700	75%	75%	75%		700	75%	75%	75%	
	680	75%	75%	75%		680	75%	75%	75%	
	640	N/A	N/A	N/A		660	N/A	N/A	N/A	

¹ Primary Only, 740+ FICO

² Debt Consolidation not permitted on Investment transactions

Refer to the next page for Program Highlights and Restrictions

Full Doc Qualification Product Highlights and Restrictions	
Loan Purpose	Purchase, R&T, Debt Consolidation, Cash-Out. Debt Consolidation is available on Primary and Second Home only.
Product Types	Primary and Second Home: 30 Year Fixed 5/6 ARM, 7/6 ARM, 10/6 ARM Interest Only Not Eligible Investment: 30 Yr Fixed, 5/6 ARM, 7/6 ARM, 10/6 ARM Interest Only Eligible
Interest Only	Investment Properties only, Business Purpose Eligible. Loan amount > \$2.5m = Max LTV 70% Loan amount: \$2.0m-\$2.5m = Max LTV 75%
Texas 50(a)(6)	Applies to primary only Max LTV 80% 12 Months Seasoning required from the most recent TX 50(a)(6) transaction Lender Paid Compensation Required
Loan Amounts	Min: \$150,000 - Max: \$3,000,000
First Time Investor	No housing late payments during the past 12 months. If Rent Free refer to guidelines.
Property types & Restrictions	- SFR, SFR + 1 ADU, Modular, PUD, Townhome, 2-4 Units, Condos, Non-Warrantable Condos, Rural properties - Condotels are eligible on Investment properties only
Property Overlays	Condominium: Warrantable eligible per Matrix Non-Warrantable and Condotel: 5% LTV reduction Condo in FL with LTV > 70% requires full condo review 2-4 Unit: Max LTV/CLTV 80%
Cash-Out	Max Cash In Hand: > 65% LTV \$1,000,000 ≤ 65% LTV Unlimited. Cash-Out Proceeds may be used for 100% reserve requirements.
Short Term Rental	Max LTV/CLTV: Purchase 75% Refinance: 70%
Declining Markets	Declining markets noted by appraiser requires 5% LTV reduction from Max LTV/CLTV
Income Documentation	Salary/Wage: Most recent 30 days Paystubs, most recent year W2, IRS Form 4506-C Self-Employed: 1-Yr Personal and Business Tax Returns as applicable, YTD P&L, IRS Form 4506-C Retirement: Social Security, pension annuity or other forms of retirement or non-taxable income. May be gross up by 125% or by the borrower's income tax bracket, whichever is less.
DTI	Max 50% 45% max ≥ 80% LTV 55% Max with \$3000 Residual Income
Tradelines	- Primary wage earner has 3 scores; or 1 open and reporting 24-months; or 2 open and reporting 12-months
Housing History: Primary	Borrowers who do not have a complete 12-month housing history are subject to ALL the following restrictions: - Primary Residence Only, MAX DTI 45 - Fully executed VOR/VOM with all applicable payments document - Borrowers living rent free with a spouse are acceptable with rent-free letter from spouse and evidence of spouse's ownership. If the borrowers are living rent free with anyone other than a spouse refer to guidelines. 1x30x12 allowed with Max LTV/CLTV of 80%
Housing History: investment	Borrowers must have a complete 12-month Primary housing history. 1x30x12 allowed with Max LTV of 75%.
Credit Event Seasoning BK/FC/SS/DIL	12 months: Purchase and R/T Max 70% LTV Cash-Out not Eligible 24 months: Purchase Max 75% LTV R&T and Cash-Out Max 70% LTV ≥ 36 months: No Reduction 48 months is required for LTV > 85% NOTE: Refer to guideline for Modification and Forbearance
Citizenship	US Citizen, Permanent Resident Alien, Non-Permanent Resident Alien (With US Credit and acceptable VISA).

Alt Doc: Bank Statements ² , P&L, 1099, Asset Utilization										
Occupancy	Primary and Second Home					Investment ¹				
Loan Amount	FICO	Purchase	R&T / Debt Consolidation	C/O	Reserves	FICO	Purchase	R/T	C/O	Reserves
<= \$1,000,000	720+	85%	85%	80%	3	720+	85%	85%	80%	3
	700	80%	80%	80%		700	80%	80%	80%	
	680	80%	80%	75%		680	75%	75%	75%	
	660	75%	75%	75%		660	75%	75%	75%	
	640	70%	70%	70%		640	75%	75%	60%	
						620	65%	65%	55%	
\$1,000,001 - \$1,500,000	700+	80%	80%	80%	6	700+	80%	80%	80%	6
	680	80%	80%	75%		680	75%	75%	75%	
	640	70%	70%	70%		660	70%	70%	70%	
\$1,500,001 - \$2,000,000	700+	80%	80%	80%	9	700+	80%	80%	80%	9
	680	80%	80%	75%		680	75%	75%	75%	
	640	70%	70%	70%		660	70%	70%	70%	
\$2,000,001 - \$2,500,000	700+	80%	80%	80%	9	700+	80%	80%	80%	9
	680	80%	80%	75%		680	75%	75%	75%	
	640	N/A	N/A	N/A		660	N/A	N/A	N/A	
\$2,500,001 - \$3,000,000	700+	75%	75%	75%	9	700+	75%	75%	75%	9
	680	75%	75%	75%		680	75%	75%	75%	
	640	N/A	N/A	N/A		660	N/A	N/A	N/A	
¹ Debt Consolidation not permitted on Investment transactions										
² For Streamlined Bank Statements Qualification, use 12 months’ personal or business bank statements for pricing. For qualifying with all pages of the bank statements, use 24 months’ personal or business bank statements for pricing.										
Refer to the next page for Program Highlights and Restrictions										

Alt Doc: Bank Statements, P&L, WVOE, 1099, Asset Utilization Product Highlights and Restrictions	
Loan Purpose	Purchase, R&T, Debt Consolidation, Cash-Out. *Consumer (Primary and Second Home) and Business Purpose (Investment)
Product Types	Primary and Second Home: 30 Year Fixed and 7/6 ARM, 10/6 ARM Interest Only Not eligible Investment: 30 Yr Fixed, 5/6 ARM, 7/6 ARM, 10/6 ARM Interest Only Eligible
Interest Only	Investment Properties only, Business Purpose Eligible Loan amount > \$2.5m = Max LTV 70% Loan amount: \$2.0m-\$2.5m = Max LTV 75%
Texas 50(a)(6)	Applies to primary only Max LTV 80% 12 Months Seasoning required from the most recent TX 50(a)(6) transaction Lender Paid Compensation Required
Loan Amounts	Min: \$150,000 - Max: \$3,000,000
Occupancy	Primary, Second Home (Max 85% LTV), and Investment
First Time Investor	No housing late payments during the past 12 months. If Rent Free refer to guidelines.
Property types & Restrictions	- SFR, SFR + 1 ADU, Modular, PUD, Townhome, 2-4 Units, Condos, Non-Warrantable Condos, Rural properties - Condotels are eligible on Investment properties only
Property Overlays	Condominium: Warrantable eligible per Matrix Non-Warrantable and Condotel: 5% LTV reduction Condo in FL with LTV > 70% requires full condo review 2-4 Unit: Max LTV/CLTV 80%
Cash-Out	Max Cash In Hand: > 65% LTV \$1,000,000 ≤ 65% LTV Unlimited. Cash-Out Proceeds may be used for 100% reserve requirements.
Short Term Rental	Max LTV/CLTV: Purchase 75% Refinance: 70%
Declining markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV/CLTV.
Income Documentation	12 Mos Personal bank statements: Should be self-employed minimum 2 years. May qualify with less than 2 years but more than 1 year if borrower can document at least 2 years of previous employment in the same line of work or related occupation or 1 year of employment and formal education/training in the same line of work. 12 Mos Business Bank Statements: Business should be established and in existence minimum 2 years. May qualify with less than 2 years but more than 1 year of self-employment, then the business should be established for the same length of time and borrower must document they have been in the same line of work or related occupation or 1 year of employment and formal education/training in the same line of work. - P&L Only: Must cover most recent 12 mos. Completed, reviewed and signed by CPA, IRS EA, CTEC, or other registered tax preparer - P&L + Two Months of Bank Statements: Must meet the requirements for P&L and two months' business bank statements are to be provided to support the income reflected on the P&L. Bank statements cannot be more than 20% less than the monthly gross revenue reflected on the P&L. 1099 IRS Form Only must be under individual name: Fixed Expense Ratio 10%; YTD Documentation to support continued receipt of income from source. Borrower(s) must be self-employed for at least 2 years, and the business must be in existence for at least 2 years. - Asset Utilization: 100% of checking, savings, money market accounts and stock/bonds. 100% of retirement assets eligible retirement age/70% under eligible age. Divide over 60 months.
DTI	Max 50%. 45% max ≥ 80% LTV 55% with \$3000 Residual Income
Tradelines	Refer to Tradeline guidelines
Housing History: Primary	Refer to Housing History guidelines
Housing History: investment	Borrowers must have a complete 12-month Primary housing history. 1x30x12 allowed with Max LTV at 75%
Credit Event Seasoning BK/FC/SS/DIL	12 months: Purchase and R/T Max 70% LTV Cash-Out not Eligible 24 months: Purchase Max 75% LTV R&T and Cash-Out Max 70% LTV ≥ 36 months: No Reduction 48 months is required for > 85% LTV - Refer to guidelines for Mod/Forbearance
Citizenship	US Citizen, Permanent Resident Alien, Non-Permanent Resident Alien (With US Credit and acceptable VISA).

ITIN - Full / Alt Doc: Full, Bank Statements ² , P&L, WVOE, 1099, Asset Utilization				
Occupancy	Primary and Second Home			
Loan Amount	FICO	Purchase, R&T, Debt Consolidation	C/O	
<= \$750,000	720+	85% ¹	75%	Declining Market: Reduced by 5% LTV TX50(a)(6) Applies to primary only Max LTV 80% 12 Months Seasoning required from the most recent TX 50(a)(6) transaction Lender Paid Compensation Required - One or more units vacant are not eligible for refinance Property Type: - SFR, 2-4 Units, Warrantable Condo, Non-Warrantable Condo, Attached PUD - Non-Warrantable Condo: Purchase and R/T Max 80% and Cash-out Max 75% FL with LTV > 70% will require a full condo review - Rural not allowed
	680	80%	70%	
	660	80%	70%	
	No Fico	80%	70%	
\$1,000,000	720+	85% ¹	75%	¹ 85% LTV only allow on Purchase and R/T refinance, Primary residence, Minimum FICO 720, Max DTI 45%, Employment must be 2 years uninterrupted, Minimum tradelines 3x12 or 2x24 months. Debt Consolidation is max at 80% LTV. ² For Streamlined Bank Statements Qualification, use 12 months' personal or business bank statements for pricing. For qualifying with all pages of the bank statements, use 24 months' personal or business bank statements for pricing.
	680	80%	70%	
	660	80%	70%	
Product type: 15 and 30 Years Fixed Occupancy: Primary and Second home At least one borrower must be ITIN Minimum loan amount: \$100K Prepay not allowed Seller Contribution: 6% Max Gift Funds: Gift funds are allowed after 5% borrower's contribution. Not allowed for reserve Assets: 2 months of assets			Reserves Requirements: LTV <= 80%: 3 mos PITIA LTV > 80%: - Fico 700+: 12 mos PITIA - Fico 720+: 9 mos PITIA - FICO 740+: 6 mos PITIA - FICO 760+: 3 mos PITIA - Cash-out may be used for reserve - Second Homes require 2 months of additional reserves. Total reserve not to exceed cap 12 months subject property PITIA.	- Max 10 acres DTI 50% Max 45% when using Asset Utilization Credit Event Seasoning: BK FC SS DIL: 36 mos Forbearance Loan Mod or Deferral: 12 mos Maximum Cash-In-Hand: - LTV <= 65%: \$500K - LTV > 65%: \$250K
Mtg/Housing history: 0x30x12 for all mortgages Tradelines: - If the primary wage earner do not have 2 scores, provide: 1x24 mos with activity within 90 days OR 2x12 mos with activity within 90 days - Borrower with 1 score: Min FICO 700, Max 75% LTV, Max Ln Amt \$750K - If primary wage earner has a qualifying fico, spouse will not need at least one score and not required for Alt Credit No Qualifying Fico Score for borrower(s): Max LTV: 80%, Max Ln Amt: \$750k, Alt. Credit required to support 1X24 or 2X12 months current payment history.			Wage earner: W2: 2 months of bank statements reflecting direct deposits or paystub reflecting YTD income WVOE: FNMA 1005, two (2) most recent months of personal bank statements reflecting deposit(s) from employer on each statement or 2 most recent paystubs. Bank Statements: 12 months of personal, co-mingle, or business bank statements P&L: 12 months P&L signed by CPA, IRS Enrolled Agent, Certified Tax Preparer 1 Year Tax Return: Most recent year tax return filled to be utilized for income qualification per FNMA guide 1099: Most recent 1-year 1099. Must be in borrower's name. 10% expense ratio Asset Utilization: 3 months of Assets, Max DTI 45%, Minimum Assets of \$1,000,000 or 150% of loan balance. Monthly income based on Total eligible assets minus DP, Closings costs and reserves divided by 60. Alt Doc: Provide IRS Letter dated less than 3 years ago to confirm ITIN, fully executed W7 with agent signature, letter from tax preparer to attest they file the most recent tax return with the IRS	

	General Policies and Products
Compliance	• High-Cost Limits: Loans exceeding any applicable federal, state, or municipal High-Cost limits are <u>not eligible</u> for purchase (e.g., HOEPA). • HPML/HPCT: Higher-Priced Mortgage Loans (HPML) are <u>eligible</u> for purchase in this program. • The maximum points and fees are limited to 5%. • Wherever the Guidelines are silent, JMAC will adhere to Fannie Mae and Freddie Mac guidelines. • EPO timeline is 7 months (210 days) from the closing date of the loan.
Income Verification	4506-C Transcripts is required on full doc only
AUS	Not Required
Loan Terms	○ Newport 5/6 SOFR ARM: 30-years amortization ○ Newport 7/6 SOFR ARM: 30-years amortization ○ Newport 10/6 SOR ARM: 30-years amortization ○ Newport 15 Year Fixed ○ Newport 30 Year Fixed ○ Interest-Only: Available for fixed period of ARM or 10 years with additional amortization of 20 years. Only available on investment transactions
ARM Caps, Margin, Index	• 6% Cap after initial fixed period, 2% Cap per adjustment, 6% Cap lifetime cap • Floor: Equal to Margin, Margin: 4.50% • Index: 30-day Average SOFR (adjusting every 6 months)
Qualification Rates	• Fixed: Promissory Note Rate • ARM: Qualify borrower(s) as shown below: ○ Owner Occupied and Second Home: Use higher of the start or fully indexed rate. ○ Investment: Use the start rate • Qualifying Payment will be based on the qualifying rate. Interest only uses ITIA.
Qualifying Ratios	Maximum DTI For all transactions: 50%
Loan Amount	Refer to Matrix. Based on qualification types

	Borrowers Eligibility
Eligible Borrowers	US Citizens; Permanent Resident Aliens; ITIN; Must have valid Social Security Number; Maximum of 4 borrowers per loan application are allowed. Permanent Resident Aliens: Permanent resident aliens are eligible for financing. A permanent resident alien is a non-U.S. citizen authorized to live and work in the U.S. on a permanent basis. Acceptable evidence of lawful permanent residency must be documented and meet one of the following criteria: • I-151 – Permanent Resident Card (Green Card) that does not have an expiration date. • I-551 – Permanent Resident Card (Green Card) issued for 10 years that has not expired. • I-551 – Conditional Permanent Resident Card (Green Card) issued for 2 years that has an expiration date, if it is accompanied by a copy of USCIS form I-751 requesting removal of the conditions. • Unexpired Foreign Passport with an unexpired stamp reading as follows: “Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until mm-dd-yyyy. Employment Authorized.” Non-Permanent Resident Aliens must be employed in the U.S. for the last 24 months and document lawful residency as follows: • Must have valid SSN • Approved VISA types: ○ Refer to Exhibit A for a list of approved VISA’s ○ An non-expired government issued photo ID ○ The borrower has current, verified status, which may be documented by a valid employment authorization document (EAD) showing immigration status/program (if status is unclear, the underwriter can request I-797 to verify borrower’s status), or other documentation showing immigration status is current (e.g., Green Card, work visa, etc.) ○ Documents must be current at the time of the note date. If any document is expired as of the note date, it is acceptable to provide proof of application for renewal documented by the receiving agency (e.g., Filing receipt, letter with case receipt confirmation.) • ITIN ○ Valid ITIN card issued by the federal government or letter from the IRS ○ Government photo ID from U.S. or eligible country of origin government issued such as passport, driver license. A VISA is not required. ○ ITIN is required to be assigned prior to loan application. ○ <u>Evidence of an unexpired ITIN:</u> ▪ Full Doc / 1099 Loans: Current executed transcripts will validate the borrower’s current ITIN status. ▪ Alt Doc loans: Provide one of the following: • IRS letter dated less than 3 years ago • Fully executed W7, including agent’s signature <i>Continue on next page</i>

	- Letter from tax preparer confirming they have filed the borrower's most recent tax returns with the IRS - At least one borrower must have an ITIN and meet the ITIN documentation requirements. The ITIN borrower should be the primary borrower. - Non-ITIN co-borrowers are allowed provided they meet the residency requirements of one of the following: - U.S. Citizen - Permanent Resident Alien - Non-Permanent Resident Alien - Non-occupant co-borrower is allowed and must meet the following: - Must be relative (blood, marriage, adoption, fiancée, child, other dependent, or legal guardianship) - Occupying borrowers are not required to meet a minimum DTI; all income may be derived by the non-occupant co-borrower - Qualifying credit score from primary wage earner, Minimum Fico 640 - Only eligible for owner-occupied transactions Note: Other than U.S. Citizens, all eligible borrowers must evidence their residency status by providing applicable USCIS documentation.
Ineligible Borrowers	- Foreign National Borrowers - Trusts or land trusts (revocable trusts may qualify for ownership vesting only) 501(c)(3) organizations - Borrowers with diplomatic immunity or otherwise excluded from U.S. jurisdiction - Borrowers not on title (refinances) - Borrowers from OFAC sanctioned countries: : https://sanctionssearch.ofac.treas.gov/ - Residents of any country not permitted to transact business with U.S. companies are ineligible (as determined by any U.S. government authority) - Any material parties (company or individual) to transaction listed on HUD's Limited Denial or Participation (LDP) list, the federal General Services Administration (GSA) Excluded Party list, or any other exclusionary list. - Borrowers less than 18-years-old
First Time Home Buyers	- Allowed on investment transaction. FTHB does not need to have housing history. FTHB can use rental income to offset the payment with no prior landlord history. - Allowed to purchase on 1 Unit and 2-4 Units property types - Not allowed on interest only products
Non-Occupant Co-Borrowers	- All non-occupying co-borrowers must be a relative, defined as the borrower's spouse, fiancée, child, or other dependent, or by any other individual who is related to the borrower by blood, marriage, adoption, or legal guardianship. - Occupying borrowers are not required to meet a minimum DTI; all income may be derived from the non-occupying borrower(s) - Qualifying credit score will be the primary wage earner. - Eligible for owner occupied transactions

Investment Transactions	<u>For investment transactions, additional disclosure required:</u> • Borrower statement of Occupancy • Borrower Statement of Business Purpose
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Prepays Offered 1, 2, 3, 4 to 5 years	Investment Properties Only Where permitted by applicable laws and regulations on an investment property, a prepayment charge may be assessed in the period between one (1), two (2), or up to five (5) years following the execution date of the note. The following prepayment structure may be used: 5% fixed percentage – The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period. In addition, the charge applies to the loans that pay off due to sale or refinance. The following states restrictions apply: - Prepayment penalties are not allowed in MD, MI, MN, NM, OH, and RI. - Prepayment penalties are not allowed on loans vested to individuals in IL. Loans can be closed under LLC, C-Corp, or S-Corp name. - Prepayment penalties are not allowed on loans vested to individuals in NJ. Loans can be closed in Corporation, S-Corp, or LLC. Loans closing in LLC have additional pricing adjustment and this applies with or without prepay options. - Pennsylvania (PA) prepayment penalties are not allowed on loan balances less than an adjusted value as determined by the Dept of Banking & Securities. For calendar year 2025 the amount is \$319,777. The loan amount needs to be > \$319,777 to have prepay.
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Property Seasoning	<u>Rate and Term Refinance:</u> • Proceeds from the transaction are used to pay off an existing first mortgage loan and any subordinate loan used to acquire the property. • Any subordinate loan not used in the acquisition of the subject property provided one of the following apply: ○ Closed end loan ○ HELOC, at least 12 months of seasoning has occurred and total draws over the past 12 months are less than \$10,000. • Buying out a co-owner pursuant to an agreement. • Paying off an installment land contract executed more than 12 months from the Loan Application date. • Cash back in an amount not to exceed the lesser of 2% of the new loan amount or \$10,000 can be included in the transaction. • Debt Consolidation is permitted with borrower's own sourced funds. Only for Primary and Second Home. ○ Payoff debt at closing and must appear on Final Closing Disclosure. • LTV/CLTV is based upon the current appraised value, no seasoning required. <u>Cash-Out Refinance:</u> • A refinance that does not meet the definition of a rate/term refinance. • No Seasoning Requirements • LTV/CLTV is based upon the current appraised value, no seasoning required. • A mortgage secured by a property currently owned free and clear is considered cash-out. • The payoff of delinquent real estate taxes, federal taxes, state taxes and judgments (60 days or more past due) is considered cash out. • The borrower must indicate the purpose of the cash out proceeds. • Properties listed for sale must be taken off the market prior to the Promissory Note date • HELOC or second mortgage needs to be seasoned for 1 year, if not proof of business purpose for investment transactions is required. • NOTE: For Business purpose loans: Can't payoff consumer debt.
Properties Listed for Sale	To be eligible for either a rate and term or a cash out refinance, the subject property must be taken off the market on or before the Promissory Note date. If the property is listed for sale at the time of application, provide LOE from the borrower to confirm in writing the reason for the listing as well as proof it was taken off the market. For properties listed within the most recent three months, the LTV will be based on the lesser of the most recent list price or the current appraised value. Unless the appraiser confirms improvements within the appraisal report were completed after listing was removed then we can use the new appraised value.

Delayed Financing	Cash out on properties purchased by the borrower with cash and owned for less than 6 months is allowed. The following requirements apply: - Delayed Financing within 6 months of original purchase is allowed with the following restrictions: - The new loan amount can be no more than the actual documented amount of the borrower's initial investment in purchasing the property <i>plus</i> the financing of closing costs, prepaid fees, and points on the new mortgage loan subject to the maximum LTV, CLTV, and HCLTV ratios for the cash out transaction based on the lower initial purchase price or current appraised value. - The sources of funds for the purchase transaction are documented (such as bank statements, personal loan documents, or a HELOC on another property). NOTE: A HARD MONEY LOAN CAN BE PAID OFF WITH A COPY OF THE PROMISSORY NOTE. <u>At least one of the following must exist:</u> - No mortgage financing was used to obtain the property. - The original purchase transaction is documented by a settlement statement, which confirms that no mortgage financing was used to obtain the subject property (a recorded trustee's deed or similar alternative confirming the amount paid by the grantee to trustee may be substituted for a settlement statement if a settlement statement was not provided to the purchaser at the time of sale). - The preliminary title search or report must confirm that there are no existing/open liens on the subject property. - If the source of funds used to acquire the property was an unsecured loan or a loan secured by an asset other than the subject property (such as a HELOC secured by another property), the settlement statement for the refinance transaction must reflect that all cash out proceeds be used to pay off or pay down, as applicable, the loan used to purchase the property. - Any payments on the balance remaining from the original loan must be included in the DTI for the refinance transaction. - The underwriter has documented that the borrower acquired the property through an inheritance or was legally awarded the property through divorce, separation, or dissolution of a domestic partnership. - Rate and term pricing will apply - Loan will be qualified using the rate and term guidelines and matrices
	Credit Analysis
Credit Doc Age	For all transaction types, credit documents may not be older than 90 days from the Greater of the Note date or Funding Date.
Credit Scores and Tradelines Requirements	- Rapid Rescore is allowed prior to Clear to Close. - A tri-merge credit report is required for each borrower/guarantor. - At least one borrower (primary wage earner) must have a valid score from at least 2 of the following agencies (Experian, TransUnion, Equifax) unless the matrix permits No Fico. <i>Continue on next page</i>

	- The applicable credit score is the middle of three scores provided for any borrower. If only two credit scores are obtained, the higher of two will be used. - When there are multiple borrowers, the highest income earner's applicable score from the group of borrowers is the representative credit score for qualifying. If the income is the same (e.g. when borrowers have 50/50 ownership in a business), the highest score will be used. - All additional borrowers/ co-borrowers will require a minimum FICO of 600 to be included on the subject loan application. - For ITIN credit qualification refer to the ITIN matrix. - Credit reports expire after 90 days. - Minimum tradelines: - If primary wage earner on income driven loans has 2 credit scores, the minimum tradeline requirement can be waived. If not: 2 tradelines reporting on credit for 12 months with activity in the most recent 90 days; OR 1 tradeline reporting for 24 months with activity in the most recent 90 days VOM/VOR or proof of taxes are paid on a free and clear property may be used to satisfy tradeline requirement so long as there is one tradeline on the credit report with activity in the most recent 90 days NOTE: Only the primary wage earner must meet the minimum tradeline requirements. - Examples of unacceptable tradelines include: - Loans in a deferment period - Collection or charged-off accounts - Accounts discharged through bankruptcy - Authorized user accounts - Deferred student loan - Insufficient tradelines and non-traditional credit is permitted with acceptable required alternative credit. - The credit report used to evaluate a loan may not reflect a security freeze and must be resolved prior to an underwriting decision. If a borrower unfreezes their credit after the date the original credit report was ordered, a new three-bureau merged report must be obtained to reflect current and updated information from all repositories.
Forbearance	Forbearance is not permitted. May be considered on a case-by-case on an exception basis without any other significant derogatory credit history after event.
Credit Counseling, Collections, Judgements, Liens	All open judgments, garnishments, and all outstanding liens must be paid off prior to or at loan closing.

Significant Adverse Credit (BK, SS, DIL, Charge-Off, FC)	Review program matrices for credit events seasoning requirements A credit event is any one of the following events listed below: • Bankruptcy • Foreclosure • Deed-in-Lieu (DIL) • Short Sale • Modification • 1x120 mortgage history • Non-COVID forbearance Seasoning of a foreclosure, deed-in-lieu (DIL), or short sale is measured from the date of completed sale or final property transfer. The housing event must be completed prior to loan closing with no outstanding deficiency balance remaining. All bankruptcies must be settled at the time of application. Evidence of bankruptcy resolution is required. The length of time is measured from the discharge/dismissal date to the Promissory Note In the case of a foreclosure which was included in bankruptcy, the seasoning timeline will start from the earlier of: • the date of discharge of bankruptcy; and • the foreclosure completion date. Re-established credit of at least 2 tradelines paid as agreed for 12 months is required or the foreclosure date will be used. ACTIVE FORECLOSURES ARE NOT ALLOWED In the case of a short sale/DIL which was included in bankruptcy, the seasoning timeline will start from the earlier of: • the date of discharge of bankruptcy; or • the short sale/DIL completion date. Re-established credit of at least 2 tradelines paid as agreed for 12 months is required or the completion date will be used. <i>Continue on next page</i>
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	SHORT SALE OR DIL CURRENTLY IN PROCESS ARE NOT ALLOWED. For a 120-day mortgage late, seasoning is from the date the mortgage was brought current. Seasoning for a modification is from the date the modification was executed. If the property was surrendered in Chapter 7 bankruptcy, the bankruptcy discharge date is used for seasoning. Bankruptcy papers may be required to show the property was surrendered. The foreclosure action is not required to be fully complete.
Mortgage Modifications	A mortgage modification resulting in any of the attributes listed below is subject to Credit Event Seasoning guidelines. • Forgiveness of a portion of principal and/or interest on either the first or second mortgage • Application of a principal curtailment by or on behalf of the investor to simulate principal forgiveness • Conversion of any portion of the original mortgage debt to a subordinate mortgage that requires no payments • Conversion of any portion of the original mortgage debt from secured to unsecured
Rolling Lates	• A 30-day lates will now be counted as 1 instance up to 6 months if they are rolling lates.
Past-Due Accounts	Past-due consumer debts must be paid current at or prior to closing. Funds used to pay the debt current need to be sourced.
Delinquent Credit belonging to Ex-Spouse	Delinquent credit belonging to an ex-spouse can be excluded from the credit evaluation when all the following apply: • Borrower provides a copy of the divorce decree or separation agreement which shows the derogatory accounts belong solely to the ex-spouse • Late payments occurred after the date of the divorce or separation • Evidence of title transfer prior to any delinquent debt must be provided if debt is a mortgage and evidence of buyout as part of court proceedings • Collection accounts assigned to an ex-spouse may be excluded from aggregate collection totals with a divorce decree or separation agreement assigning the account solely to the ex-spouse.
Lawsuit / Pending Litigation	If the application, title, or credit documents reveal the borrower is presently involved in a lawsuit or pending litigation, a statement from the borrower's attorney is required. The statement must explain the circumstances of the lawsuit or litigation and discuss the borrower's liability and insurance coverage. A copy of the complaint and answer may also be needed. The title company closing the loan must be informed of the lawsuit or litigation and provide affirmative coverage of JMAC first lien position.
Consumer Credit Counseling Service (CCCS)	Borrower enrollment in CCCS is allowed when a minimum of 12 months have elapsed on the plan and evidence of timely payments for the most recent 12 months is provided. The CCCS administrator must also provide a letter allowing the borrower to seek financing on a new home while enrolled in the plan. <i>Continue on next page</i>

	If accounts included in CCCS plan reflect as charge-off or collection accounts on the credit report, the balances can be excluded from the charge-off and collection limits in Collections and Charge- Offs. The monthly CCCS plan payment must be included in the DTI calculation. If a completion date is not shown on the credit report, the borrower is required to submit verification from the counseling agency establishing the date of completion.
Disputed Accounts	Current disputed accounts are excluded from the limit calculation as noted in the Collections and Charge-Offs Section of this guide, if the borrower(s) meets minimum reserve requirements and has additional seasoned reserves (no gifts or cash out allowed to satisfy the requirement) totaling amount of disputed accounts (total Minimum Reserves + Disputed Account Balance(s)).
Collection and Charge-Offs	The following accounts may remain open: • Collections and charge-offs < 24 months old with a maximum cumulative balance of \$2,000 • Collections and charge-offs ≥ 24 months old with a maximum of \$2,500 per occurrence • Collections and charge-offs that have passed beyond the statute of limitations for that state (supporting documentation required) • All medical collections • Active payments being made on the collection or charge off (payment must be added to DTI when loan is a DTI bearing program). Payment plan must be provided with documented 3 months timely payments. • Collection and charge-off with balances exceeding the amounts listed above must be paid in full prior to or at closing. Borrower must have sufficient reserves to cover the balance of the charge-off or collection and still be able to meet program reserve requirements.
Judgment and Liens	All judgments and liens must be paid in full prior to or at closing. Medical judgements can be considered case by case.
Bankruptcy	Refer to Program Matrices based on qualification type
Obligations not Appearing on Credit Report	Housing and Mortgage Related Obligations Mortgage and rental payments not reflected on the original credit report must be documented via an institutional Verification of Rent or Verification of Mortgage (VOR/VOM). A combined total of all late mortgage and rental payments in the past 12 months must be used to determine the housing history. If the borrower is making payments to an individual or interested party, 12 months of the most recent canceled checks or bank statements must be obtained. A VOR/VOM is not required but may be requested for clarification. All mortgages and rental payments should be current at time of closing. If the credit report or VOR/VOM reflects a past-due status, updated documentation is required to verify the account is current.

Installment Debts	• Installment debt is a monthly obligation with fixed payments and terms. Payments on installment loans must be included in the borrower's DTI, if applicable. Payments can be excluded if there are 10 or fewer monthly payments remaining to pay the debt in full. • Installment debt paid in full prior to closing can be excluded from the DTI. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full. • If no payment info is shown on the credit report, the calculation of the monthly payment will be 2% of the higher of the current unpaid balance or the high credit limit. A current monthly statement may also be provided to document the monthly payment amount when absent from the credit report.
Revolving Debt	• Revolving debt is open-ended debt in which the principal balance may vary from month to month. The minimum required payment as stated on the credit report or current account statement should be used to calculate the DTI. If no payment is stated on the credit report, the greater of \$10 or 5% of the current balance should be included in the DTI calculation. • Revolving accounts are allowed to be paid off prior to or at closing in order to exclude the payment from the DTI. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full. • Authorized user accounts should not be considered in the borrower's DTI.
Business Debt	• A business debt is a financial obligation of a business and can be the sole responsibility of the business or be personally secured by the business owner, making that person also liable for the debt. If the debt is reflected in the borrower's personal credit report, the borrower is personally liable for the debt, and it must be included in the DTI. • Debts paid by the borrower's business can be excluded from the DTI with any of the following supporting documentation: ○ Most recent 3 months canceled checks drawn against the business account; <i>or</i> ○ Tax returns reflect the business expense deduction
Timeshares	Timeshare obligations will be treated as a consumer installment loan.
Student Loans	• If a monthly student loan payment is provided on the credit report, that amount may be used for qualifying purposes. If the credit report does not reflect the correct monthly payment, the monthly payment that is on the student loan documentation (the most recent student loan statement) may be used to qualify the borrower. • If the credit report does not provide a monthly payment for the student loan, or if the credit report shows \$0 as the monthly payment, then the qualifying monthly payment must be determined using one of the options below: ○ If the borrower is on an income-driven payment plan, student loan documentation may be obtained to verify the actual monthly payment is \$0. The borrower may then qualify with a \$0 payment. ○ For deferred loans or loans in forbearance, the following must be calculated: a payment equal to 1% of the outstanding student loan balance (even if this amount is lower than the actual fully amortizing payment); or fully amortizing payment using the documented loan repayment terms.

Federal Tax Installment Agreements / Repayment	- When a borrower has entered into an installment agreement with the IRS to repay delinquent federal income taxes, please include the monthly payment amount as part of the borrower's monthly debt obligations (in lieu of requiring payment in full) if: - There is no indication that a Notice of Federal Tax Lien has been filed against the borrower in the county in which the subject property is located. - The lender obtains the following documentation: - an approved IRS installment agreement with the terms of repayment, including the monthly payment amount and total amount due; and - evidence the borrower is current on the payments associated with the tax installment plan. Acceptable evidence includes the most recent payment reminder from the IRS, reflecting the last payment amount and date and the next payment amount owed and due date. At least one payment must have been made prior to closing.
Child Support, Alimony, or Maintenance Obligations	- Monthly alimony, child support or separate maintenance fees should be current at time of application and must be included in the borrower's DTI. The file should contain supporting documentation as evidence of the obligation, such as a final divorce decree, property settlement agreement, signed legal separation agreement, or court order. If payments are past-due, the arrearages must be brought current prior to loan closing. - If 10 or fewer payments remain, see Installment Debt Section above to determine if the obligation may be excluded from the DTI calculation. For child support income, provide 6 months proof of receipt.
Contingent Liabilities	- An individual has contingent liability when an outstanding debt has been assigned to another party and the creditor does not release the borrower from liability. Contingent liabilities can be excluded from the DTI under the following scenarios: - Property resulting from buyout of former co-owner (e.g., divorce: file must include the court order and evidence of transfer of ownership) - Mortgage assumption by third party: file must include the formal assumption agreement and evidence of transfer of ownership - Court ordered assignment of debts: file must include a copy of the court order assigning the debt to another party NOTE: THE PAYMENT HISTORY FOR THE ASSIGNED DEBT AFTER THE EFFECTIVE DATE OF THE ASSIGNMENT DOES NOT NEED TO BE EVALUATED.
Debt Paid by Others	- When a borrower is obligated on a non-mortgage debt but is not the party repaying the debt, the monthly payment may be excluded from the borrower's recurring monthly obligations. Debts can be excluded if documented as shown below: - The most recent 12 months' canceled checks (or bank statements) must be obtained from the other party making the payments that document a 12-month payment history with no delinquent payments - When a borrower is obligated on a mortgage debt but is not the party who is repaying the debt, the full monthly payment may be excluded from the borrower's recurring monthly obligations if: - The party making the payments is obligated on the mortgage debt, - There are no delinquencies in the most recent 12 months, <i>and</i> - The borrower is not using rental income from the applicable property to qualify. <i>Continue on next page</i>

	To exclude non-mortgage or mortgage debts from the borrower's DTI, the most recent 12 months' canceled checks (or bank statements) must be obtained from the other party making the payments that document a 12-month payment history with no delinquent payments. When a borrower is obligated on a mortgage debt – regardless of whether the other party is making the monthly mortgage payments – the referenced property must be included in the count of financed properties.
Lease Obligations	Lease obligations must be included in the DTI, regardless of the time remaining on the lease.
Open 30-Day Charge Accounts	For open 30-day charge accounts that do not reflect a monthly payment on the credit report, or 30-day accounts that reflect a monthly payment that is identical to the account balance, 5% of the outstanding balance will be the required monthly payment.
Open-End Accounts	- Do not have to be included in the monthly debt payment if the borrower has sufficient funds to payoff the outstanding account balance. The funds must be verified in addition to any funds required for closing and reserves. - If the borrower paid off the account balance prior to closing, proof of pay off may be provided in lieu of verifying funds to cover the account balance. - The most current monthly statement can be provided to document the present monthly payment when the monthly payment is not stated on the credit report.
Retirement/Savings Plan Loans	Repayment for loans against a financial asset (retirement/savings plan, insurance policy) can be excluded from the total DTI provided the debt can be repaid by liquidating the asset. The value of the asset must be reduced by the amount of debt when calculating funds to close and reserves.
Housing Payment History	Verification of Mortgage/Verification of Rent (VOM/VOR): Applications must be supported by the most recent 12 months mortgage and/or rent pay history. A VOM must be obtained for all outstanding mortgages the borrowers have if not evidenced by their credit report, including private mortgages. - The VOM/VOR is reviewed for delinquencies with the greatest weight focused on the last 12 to 24-months. Refer to matrices for program specific requirements. - Verification needs to reflect pay history up to the month the loan is closing. Rolling delinquencies are considered separate events. If the credit bureau report does not reflect pay history required, other acceptable methods of verification are as follows (A mortgage statement showing next due or last payment date can be used to verify payment made in the month due): For Mortgage Payments – One of the following is required: - VOM from third party; <i>or</i> - Electronic Pay History printout directly from mortgage servicer showing timely payments; <i>and</i> Bank statements showing account ownership and timely payments debited by Mortgage Servicer; <i>or</i> - Canceled checks front and back as well as the most recent mortgage statement; <i>or</i> Continue on next page

	- For private mortgages (defined as the mortgage lender being a natural person), provide a fully executed VOM together with either bank statements showing account ownership and timely payments debited by mortgage servicer, <i>or</i> canceled checks front and back along with the most recent mortgage statement For Rental Payments – One of the following is required: - If was/is renting from a private party, request leases for each address to cover the most recent 12-month period, along with verification of timely payments made (either canceled checks front and back <i>or</i> bank statements showing account ownership and payments debited by landlord) are required - If was/is renting from a management company, either fully executed VOR <i>or</i> most recent lease, along with payment history ledger from management company, canceled checks front and back <i>or</i> bank statements showing account ownership and payments debited by management company. Free and Clear Properties: Verification property is free and clear is required: - Property Profile Report. Proof property taxes are paid current for the most recent property tax year. No Housing history (less than 12 months verified or living rent free). Not considered living rent free or having no housing history in the below scenarios: - Borrower(s) live in a marital home - Borrower(s) sold a primary home within the past 6 months and purchasing a primary home - Borrower(s) who own their primary home Free and Clear with proof taxes are paid current All other scenarios will be considered on a case-by-case basis per underwriter discretion.
	Assets Analysis
Assets and Source of Funds	JMAC Lending considers various forms of acceptable assets to be used for a transaction. Assets and reserves should be calculated and documented to Fannie Mae (FNMA) guidelines unless otherwise specified in the guidance below. FNMA guidelines will prevail where these Guidelines are silent regarding sources and types of assets. Reserves: Refer to the matrix for required amount specific to qualification. <i>Continue on next page</i>

Eligible Assets for Reserves:

- Checking and Savings - 100%
- Certificates of Deposit - 100%
- U.S. Savings Bonds (100% if fully matured, otherwise 80%)
- Marketable Securities (100% net of margin debt). Marketable securities are defined as legitimate stocks, bonds, or mutual funds that are publicly traded.
- IRA, Keogh, and 401(K) Retirement Accounts (80% of vested balance excluding outstanding loans secured against it if under eligible retirement age, 100% of vested balance excluding outstanding loans secured against it eligible retirement age.) **MUST include eligible terms of withdraw**
- The use of business assets for self-employed borrowers for reserves is allowed. The borrowers on the loan must have 25% ownership of the business. If additional assets over the percent of ownership are to be used towards reserves, an access letter(s) from the remaining owners of the business must be obtained. If income from the business is being used to qualify, a letter from a CPA or Third-Party Tax Preparer must be obtained verifying that the withdrawal of funds for the transaction will not have a negative impact on the business. The CPA/Tax Preparer must attest that they have audited the business financial statements or reviewed working papers provided by the borrower as well as attest that they are not affiliated/associated with the borrower or their business. If a CPA letter is not provided, a cash flow analysis of the business assets and liabilities (balance sheet) must be completed by the client to determine if the withdrawal of funds from the business is acceptable.
- Crypto Currencies, Bitcoin and Ethereum documentation must be provided together with verification of current valuation from the Coinbase Exchange. Sufficient documentation from the virtual/crypto account such as a statement must be provided to document the use of funds.
- Trust Account (100%) – Full Trust documentation must be provided & reviewed to determine eligibility as use of reserves

Large Deposits:

When bank statements are used, large deposits must be evaluated on all DTI driven loans. Large deposits are defined as any single deposit exceeding 50% of the borrower's average monthly income amount. Requirements vary based on transaction type as well as program matrices:

- Refinance: Documentation or explanation is not required however it must be clear that any borrowed funds, including any related liability, are considered.
- Purchase: Documentation is required to verify the large deposit comes from an acceptable source. Any unverified large deposit must be backed out of the qualifying assets and a letter of explanation is required.

Eligible Assets for Down Payment and Closings:

- Checking and Savings (100%)
- Certificates of Deposit (100%)

Continue on next page

	• U.S. Savings Bonds (100% if fully matured, otherwise 80%) • Marketable Securities (100% net of margin debt): Marketable Securities are defined as legitimate stocks, bonds or mutual funds that are publicly traded • Restricted Stock Units (RSU): Refer to FNMA requirements • IRA, Keogh, and 401(k) Retirement Accounts (80% of vested balance excluding outstanding loans secured against it if under eligible retirement age, 100% of vested balance excluding outstanding loans secured against its eligible retirement age) • Pension Plans (60%): Only amounts accessible within a 30-day window are permitted • Annuities (60%): Only amounts accessible within a 30-day timeframe are permitted • Trust Accounts (100%): Must review a copy of the full Trust Agreement • Life Insurance: Cash value must be verified by a letter from the insurance company otherwise the surrender value must be used • Virtual Currency/Crypto Currency: Must be transferred to a traditional bank account in U. S. Dollars (USD). Sufficient documentation from the virtual/crypto account such as a statement must be provided to document the use of funds • Spousal accounts: Accounts held solely in the name of a non-borrowing spouse may be used for down payment and closing costs only. Accounts held solely in the name of a nonborrowing spouse may not be used to meet reserve requirements
Ineligible Assets	• Unsecured funds/financing • Cash on hand • Cash advance/credit cards • Funds pledged or used as collateral for another loan • Down payment assistance programs • Section 8 vouchers • Salary advance • Sweat equity • Grant funds • Builder profits • Proceeds from SBA/PPP loans or any other government assistance
Foreign Accounts	• Foreign funds for closing costs and down payment must be transferred to a traditional bank account in U. S. Dollars (USD) at least 10 days prior to closing or proof sent directly to the settlement agent or escrow account. Sufficient documentation from the foreign account such as a statement must be provided to document the use of funds. All documents must be translated to the English language. Reserves can be in a foreign account, but we will require them to be translated into English. • FUNDS FROM AN INELIGIBLE OFAC SANCTIONED COUNTRY CANNOT BE USED • http://www.treasury.gov/resource-center/sanctions/Programs/Pages/Programs.aspx

Virtual Currency	- Crypto currencies Bitcoin and Ethereum are eligible sources of funds for down payment and closing costs and reserves. For down payment and closing cost, the assets must be liquidated and deposited into an established U.S. bank account. For reserves, documentation to prove ownership of the crypto holdings must be provided together with verification of current valuation from the Coinbase Exchange within 30 days of Promissory Note date at 60% of the current valuation. If the borrower transfers the cryptocurrency into a U.S. financial institution prior to closing, 100% of the funds can be used for reserves. - CRYPTO CURRENCY IS NOT AN ELIGIBLE LIQUID ASSET FOR ASSET DEPLETION.
Earnest Money Deposit (EMD)	Earnest Money Deposits (EMD) on the Sales/Purchase Contract are considered as part of the down payment. EMD require verification by one of the following: - Copy of check (canceled or not canceled) along with certified escrow receipt. - Bank statement showing the check has cleared along with certified escrow receipt. - Verification of acceptable sources of funds on any deposit paid outside of escrow must be satisfactorily documented. - Multiple deposits made to escrow outside of the initial EMD must be documented in the same manner as the initial EMD outlined above and are considered as additional downpayment funds. - EMD that has been with escrow longer than 12 months from date of the application, we will require an LOE from escrow/title company.
1031 Exchange	- Delayed 1031 Exchange funds for “like kind exchange” are eligible for earnest money deposit (EMD), down payment, and closing costs. 1031 EXCHANGE FUNDS ARE NOT ELIGIBLE FOR RESERVES.
Gift Funds	- Gift Funds are acceptable for the down payment if the following applies and meets program specific matrix: 100% Gift Funds are allowed for down payment and closing cost. - ITIN: Borrower must have 5% own contribution; rest can be gifted for down payment and closing. - Gift Funds are allowed but may not be used to meet the reserve requirement and guidelines to be followed for donor relationship to borrower(s), documentation, proof of funds, and evidence of receipt. A gift can be provided by: - A relative, defined as the borrower’s spouse, child, or other dependent, or by any other individual who is related to the borrower by blood, marriage, adoption, legal guardianship, fiancé, or domestic partner. - For any gift provided by a non- U.S. citizen, the donor must be screened against the OFAC Specially Designated Nationals (SDN) list. - The donor may not be, or have any affiliation with, the builder, the developer, the real estate agent, or any other interested party to the transaction. Documentation Requirements: - Gifts must be evidenced by a letter signed by the donor, called a gift letter. The gift letter must: - Specify the dollar amount of the gift; - Specify the date the funds were transferred; - Include the donor’s statement that no repayment is expected; <i>and</i> <i>Continue on next page</i>

	▪ Indicate the donor's name, address, telephone number, and relationship to the borrower. ▪ Verify donor availability of funds with proof the gift funds were transferred • If funds transferred prior to closing into borrower's account: ○ Sufficient funds to cover the gift must be verified either in the donor's account or have been transferred to the borrower's account. Acceptable documentation includes the following: ▪ a copy of the donor's Cleared check and borrower's deposit slip, ▪ a copy of the donor's withdrawal slip (must reflect beginning /ending balance) and the borrower's deposit slip, a copy of the donor's cleared check to the closing agent including escrow deposit receipt letter; or • If transferred directly to closing agent: ○ When the funds are not transferred prior to settlement, the underwriter must document that the donor gave the closing agent the gift funds in the form of a certified check, a cashier's check, or other official check (e.g., wire confirmation). A prior to funding (PTF) condition to support that the gift shows on the Closing Disclosure (CD) or Settlement Statement.
Gift of Equity	• Gift Equity is allowed provided the following is met: ○ Gift of equity is permitted only for primary occupancy and second home. ○ Treated as a purchase transaction. A fully executed Purchase Agreement is required. ○ The donor of the gift of equity must be from a family member (e.g. spouse, any type of domestic partnership or union, fiancée, boyfriend / girlfriend, parent, brother, sister, child, grandparent, aunt, uncle, nephew, niece). ○ A gift letter signed and dated by the donor and borrower is required. The gift letter must explain the gift of equity, stating the amount of the gift and that no repayment is expected nor implied. ○ Proof the existing mortgage lien secured by the subject property is not currently delinquent. ○ The borrower's minimum contribution toward the costs to close must comply with ○ Not Permitted on Foreign National
	Income and Liabilities
Maximum Number of Financed Properties	• The max number of financed properties (including subject property) is 15 permitted to any one borrower. • JMAC exposure may not exceed \$10M aggregate with a maximum of 10 loans for each borrower.
Credit Report Data Included in DTI Ratios	Follow FNMA Guidelines
Departing Residence	Follow FNMA Guidelines

**Wage Earners
Income/Employment**

Full time, part time and second job employment status:

- Most recent 1-year W2 & paystub covering most recent 30 days of earnings for full time employment. (If using income other than base/salary *or* employed part time *or* using second job income – 2 years W2 & WVOE required along with most recent paystub covering 30 days of earnings.)
- Signed 4506–C and transcripts to support income.
- Pay stubs must be typed or computer generated and should reflect year-to-date (YTD) earnings. If internet printout, the URL and date should be included. Handwritten pay stubs are acceptable, if supported by bank statements for the most recent 2 months.
- W-2s must be typed or computer generated and should reflect a nine-digit employer ID number (EIN). If internet printout, the URL and date must be included.
- Documents should provide the borrower’s full name, address, employer name, YTD earnings, and rate of pay.
- If pay stubs reflect garnishments (child support, IRS, etc.) or any loan deductions (401(k) exempt), additional information will be required to determine if a monthly payment should be included in the DTI calculation.
- For income types that require sufficient remaining assets to establish continuance, those assets cannot be in the form of virtual currency/cryptocurrency.

Written Verification of Employment (WVOE)

- Income and employment must be provided by a FNMA approved 3rd party vendor such as The Work Number. FNMA WVOE Form 1005 is not eligible to use under the standard full income documentation; a FNMA WVOE Form 1005 *could* be used in conjunction with W2s and paystubs if needed for fluctuating income such as bonus, OT, or commission. At a minimum, the WVOE must include the most recent 1 or 2 years income along with YTD earnings, the borrower’s name, position, dates of employment, and base salary.

12 Months Tax Returns Non-SE Income:

- Most recent 1-year tax return
- YTD P&L covering most recent closed quarter (can be self-prepared)

RSU Income:

Restricted stock refers to stock of a company that is not fully transferable until certain conditions have been met. Upon satisfaction of those conditions, the stock becomes transferable to the person holding the grant. Restricted stock should not be confused with stock options. Restricted stock must be vested as well as received on a regular, recurring basis.

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The following documentation is required:

- Issuance agreement or equivalent (part of the benefits package); *and*
- Schedule of distribution of units (shares); *and*
- Vesting schedule; *an*
- Evidence that stock is publicly traded; *and*
- Evidence of payout of the restricted stock (e.g., YTD pay stub and 2 years W2s)

To determine the restricted stock price, use the lower of the two for calculating the income:

- Current stock price; *or*
- The 2-year stock price average.

Qualifying income will be calculated using an average of the restricted stock income for the past 2 years, and YTD stock earnings. The average stock price should be applied to the number of stock units vested each year.

- Future vesting must support qualifying income.

Trust Income

Use average of trust income from most recent 2 years 1040 tax return. Assets must be fixed, liquid assets with no limitation on withdrawals will not be considered as a source of income.

- 2-year history of receipt documented with 1040 tax returns.
- Verification that these sources of income will continue for a minimum of 3 years is required
- Trust agreement or statement from trustee confirming the trust is irrevocable, the amount, frequency and duration of payments

Royalties:

- 12-month history of receipt is required
- Verification of these sources of income will continue for a minimum of 3-years is required

Self-Employed Income/Employment	Business Verification Acceptable Verifiers – Verification must be from a third-party, such as a CPA, Enrolled Agent, CTEC or Chartered Tax Adviser, Third-party Licensed Tax Preparer Regulatory Agency or an applicable Business License Verification of the business to include a phone listing and address using an independent third-party, e.g., internet search. PTIN: A PTIN may be used in the following circumstances: • Must have an active website identifying name, and address; <i>and</i> • Must be able to verify website (Google, LinkedIn etc.) and identify the business as a tax preparer or similar; <i>or</i> • PTIN working seasonally for tax preparer and/or companies such as HR Block, Turbo tax etc., are acceptable with documentation supporting seasonal employment such as verification they are currently employed or proof they have recently been employed as a tax preparer. General Requirements for Self-Employed Income Minimum Ownership: • Applicants must own at least 25% of a business to be considered self-employed. • Applicants must have been successfully self-employed for a minimum of 2 full years; however, a borrower may qualify with less than 2 years but more than 1 year if the borrower can document at least 2 years of documented previous successful employment in the same line of work in which the person is self-employed or related occupation or 1 year of employment and formal education or training in the same line of work. • YTD P&L required covering the most recent quarter can be completed and signed by borrower. • The calculation is based on the most recent year of tax returns and the YTD P&L. Income Documentation Requirements – Self-Employed Sole Proprietor • Use 1040 federal tax return Schedule C net income/loss, plus non-cash expenses • 2-year history of receipt • Complete 1040 federal tax return with all schedules • Current YTD P&L with bank statements for 3 preceding months General Partnership Use income average from 1040 federal tax return Schedule E and 1065 federal tax return based on borrower’s percentage of ownership • 2-year history of receipt • K1’s with all schedules for most recent year; <i>and</i> • Complete 1040 Federal Tax Return with all schedules Continue on next page
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- Current YTD P&L with bank statements for 3 preceding months

Limited Partnership

Use income average from 1040 Federal Tax return and K1's based on borrower's percentage of ownership

- Two-year history of receipt
- K1's with all schedules for most recent year; *and*
- Complete 1040 and 1065 federal tax returns with all schedules
- Current YTD P&L with bank statements for 3 preceding months

S-Corporation

- Use income average from 1040 and 1120-S federal tax returns
- 2-year history of receipt
- K1's with all schedules for most recent year; *and*
- Complete 1040 and 1120-S federal tax returns with all schedules
- Current YTD P&L with bank statements for 3 preceding months

Corporation

Use income average from 1040 and 1120 federal tax returns based on borrower's percentage of ownership

- 2-year history of receipt
- Evidence it will continue
- K1's with all schedules for most recent year; *and*
- Complete 1040 and 1120 Federal Tax Returns with all schedules
- Current YTD P&L with bank statements for 3 preceding months
- Cash flow and liquidity test not required.

When using personal or business tax returns for qualifying income, the below requirements must be met:

- Signed 1040 forms
- Proof of tax payment: The taxpayer must provide proof that their taxes have been paid in full. If the taxes have not been fully paid, the taxpayer must provide documentation of an installment plan with the IRS.
- Installment plan requirements: If an installment plan is in place, proof that at least 3 payments have been made under the new plan is required.
- The DTI must be updated to reflect any payments made under an installment plan.

General Requirements for Self-Employed Income	• Minimum Ownership. Applicants must own at least 25% of a business to be considered self-employed. • Personal History: Borrowers should be self-employed for at least 2 years; however, a borrower may qualify with less than 2 years but more than one year if the borrower can document at least 2 years of previous successful employment in the same line of work in which the person is self-employed or related occupation or one year of employment and formal education or training in the same line of work. • Businesses History: Business should be established and have been in existence for the past 2 years; however, if a borrower is qualifying with less than 2 years but more than 1 year of self-employment, then the business should be established for the same length of time and borrower must document the have been in the same line of work <i>or</i> had schooling in the profession in the year preceding the business start date. When analyzing business bank statements, the underwriter must verify the borrower's percentage of ownership. Acceptable forms of documentation that clearly states ownership percentage would be: ○ A business license ○ A signed written statement from a CPA or a third-party tax preparer, operating agreement reflecting borrower as "single member." ○ Articles of Incorporation/Articles of Organization that reflects the borrower as President, Director, or Officer of the company and their name is the only name listed ○ A Partnership Agreement ○ A Business Certificate filed with a governmental agency ○ A third-party verification that the business is in existence and in good standing is required
Self-Employed Bank Statement Analysis	Self-employed borrowers can use either personal or business bank statement documentation. The following guidance applies to both types of documentation as applicable. • Streamlined bank statements used for income must be consecutive and reflect the most recent months available. Page 1 is acceptable only for each month's bank statements if they show beginning balance, deposits, withdrawals, and ending balance. If the most recent months bank statements have a 50% difference from beginning to ending balance for just the most recent month, all pages of the 12 months of bank statements will be required. • Statements must support stable and generally predictable deposits; large and unusual deposits must be sourced and if they cannot be sourced, they will be excluded. A large deposit is defined as a single deposit that exceeds 50% of that month beginning balance of the bank statement. Large cash deposits are not an acceptable deposit source (will be considered case-by-case depending on the type of business). • If the income exhibits a seasonality of income effect, whereby a 2-year history would be a better representation of the borrower's income, then 24 months of bank statements are required. For example, if the borrower receives most of their income/deposits in a particular quarter or 6-month period as seen in certain industries such as mining, construction, landscaping, etc., then utilization of 24 months of bank statements is required to support the income as reliable. • Non-Sufficient Funds (NSF) and negative beginning or ending account balances will be reviewed over the most recent 60 days and will be subject to underwriter discretion. • If all pages on the bank statements are used to qualify income, transfers will be excluded unless it is a wire transfer in from another company for services rendered. Continue on next page

- Other forms of income used in conjunction with the bank statement program such as W2 income, asset depletion, or other sources of income (per FNMA).
- NON-PROFIT ENTITIES ARE NOT ELIGIBLE FOR THE BANK STATEMENT PROGRAMS.

12 months Personal Bank Statements and 2 months Business Bank Statements

All parties listed on a personal bank account used for income must be included as borrowers on the application unless each deposit is documented as business income with invoice of service.

The following documentation is required:

- 12 months personal bank statements (multiple bank accounts may be used). Dated within 90 days of Promissory Note date.
- 2 months business bank statements (to support the borrower does maintain separate account(s) (transaction histories are not acceptable). If business bank statements cannot be provided to evidence a separate business account, then refer to the Business and Co-Mingled Personal Bank Statements Section of this guide for further requirements.

The following apply when analyzing personal bank statements:

- 100% of personal bank account deposits.

Co-Mingled Personal Bank Statements

A co-mingled bank account is a personal account used by a borrower for both business and personal use.

- A separate business account is not required.
- 10% Expense factor will be applied
- The borrower must be the sole owner of the business.
- The borrower must be self-employed for at least 2 years and the application must reflect a minimum of two years employment history.
- Business being used to source the income must be in existence for 2 years supported by one of the following:
 - CPA letter, or
 - Business license, or
 - Other reasonable evidence of business activity.
- FUNDS/DEPOSITS IN A TRUST ARE INELIGIBLE

Continue on next page

12 months Business Bank Statement

The following documentation is required:

- 12 months of business bank statements or from account opening to current for the same account. (If an account has been moved to a different bank and is shown to be one and the same, that will be acceptable).
- Co-mingling of multiple accounts to generate a full 12 months is not permitted.

The following apply when analyzing business bank statements:

- Transaction histories are not acceptable.
- The borrower must be at least 25% owner of the business. If multiple owners, then the income used will be based on ownership percentages.
- Third-party verification of business existence.
- Business bank statements must be consecutive and from the most recent period.

Qualifying income will be determined based on one of the following calculations below:

- Percentage of gross deposits as calculated using a fixed expense ratio factor of 25% **or**
- Percentage of gross deposits as calculated using a fixed expense ratio factor as provided by a CPA, Enrolled Agent, CTEC, or chartered tax adviser. The CPA/licensed tax preparer must attest they have audited the business financial statements or reviewed working papers provided by the borrower as well as attest they are not affiliated/associated with the borrower or their business.
- The minimum expense ratio permitted is 10%

Excluded Deposits

The following items are examples of what is to be *excluded* as eligible deposits from personal and business bank statements when all pages are provided:

- Transfers from other bank or asset accounts without inclusion of relevant statements
- Extraordinary asset sales not part of normal business activity
- Any borrowed funds or grants (e.g., SBA loans, SBA PPP grants or any other similar COVID-19 related loans or grants)
- Tax refunds
- Gift funds
- Rental income deposits
- NOTE: THE ABOVE LIST IS NOT EXHAUSTIVE AND IS SUBJECT TO UNDERWRITER REVIEW AND DISCRETION

P&L Only Qualification	Required Documentation if utilizing a Profit and Loss (P&L) statement for income validation: • Refer to the matrix for min FICO and max LTV. • Required to be completed, reviewed and signed by CPA, IRS EA, CTEC, or other registered tax preparer (PTIN eligible) • The borrower must be self-employed for two years. • Profit and losses covered the most recent previous 12 months. To be dated with the most recent month within 90 days of close completed and reviewed by a Certified Public Accountant, Enrolled Agent, CTEC, Chartered Tax Adviser or Independent Licensed Accountant (PTIN eligible). • The CPA/Licensed Tax Preparer (PTIN Eligible) must attest that they have audited the business financial statements or reviewed working papers provided by the borrower as well as attest that they are not affiliated or /associated with the borrower's business if they have not done so somewhere else in the loan file. • Proof that the appropriate 3rd party completing the review is duly licensed, or certified (certification or licensing proof is acceptable if verified by professional services directory, government listing, or other reasonable 3rd party (certification proven by other reasonable methods may be allowed at underwriter discretion) • Proof the business has been in operation for 12 months or longer • 3rd party documentation from which the borrower's ownership percentage can be determined • Documents which are not required to list all owners do not meet this requirement • P&L must reasonably reflect the income and expenses of the industry described P&L statements not meeting the requirements of this section, or which are suspicious in nature, may require additional verification <u>P&L + TWO MONTHS BANK STATEMENTS</u> All requirements must be met as listed under P&L Section along with: • Two months of Business Bank statements to support the monthly income. ○ The monthly gross revenue from P&L must be supported by the bank statements provided. The total monthly average deposits from the bank statements, minus any disallowed deposits, must be no more than 20% less than the monthly gross revenue on the P&L. NOTE: A verbal verification of employment for the business must be done with the CPA/Licensed Tax Preparer. Completed by lender.
1099 (IRS Form) Only Qualification	Borrowers who have a 2-year history of receiving 1099 only or have recently converted from W2 to 1099 and have at least 1 year of receiving 1099 in the same line of work may utilize this program. This program is typically used for individuals earning 100% commission or are considered independent contractors. Multiple 1099s can be used if verification borrower is still earning or contracting through all companies the 1099s have been provided for. Continue on next page

	The borrower must provide the following: • 1099 for the previous tax year, payable to the borrower not a business. • VOE from the current contract employer covering the most recent 2 years plus YTD earnings, likelihood of continued contractor status and whether the contractor is required to pay for any business-related expenses (non-reimbursed). If the verification does not reference related expenses, then a Fixed Expense Ratio of 10% may be used OR 3rd party prepared P&L (CPA, EA accountant, or tax preparer) with attestation of expense ratio. Most recent two months proof of receipt is required in the form of paystubs, checks or bank statements. Income is qualified using: • 12-month average from the total number of 1099s minus the expense factor from a method chosen from above. • YTD earnings must be documented to support the ongoing receipt of income showing on the 1099s by: • Checks or a single check stub with YTD totals if available; <i>or</i> • Bank statements covering YTD • YTD earnings must be within 10% or greater than the prior year's earnings. NOTE: IF WVOE CANNOT BE OBTAINED FOR ANY EMPLOYERS IN 2-YEAR HISTORY, NEED LOE REGARDING EXTENUATING REASON IT CANNOT BE OBTAINED AS WELL AS YEAR END AND YEAR TO DATE PAYSTUBS FROM ALL EMPLOYERS TO SUPPORT INCOME CALCULATION. Supplemental income such as W2 or SSI may be included with this loan program provided it is not the dominate income type or conflicts with primary income calculation. Supplemental income should be documented in accordance with full doc income requirements.
Asset Utilization	Asset Utilization may be used to determine qualifying income both alone and in conjunction with other documentation options. See the applicable Matrix for restrictions. GIFT FUNDS ARE NOT PERMITTED WHEN ASSET UTILIZATION IS SOLEY USED. • Qualified assets may be comprised of stocks, bonds, mutual funds, vested amount of retirement accounts, and bank accounts. If a portion of qualified assets is being used for down payment, closing costs or reserves, those amounts must be excluded from the balance before analyzing a portfolio for income determination. Proof of 3-month seasoning of all assets is required. • A large deposit is a single deposit that exceeds 50% of qualifying gross monthly income for asset utilization. <i>Continue on next page</i>

The following assets are considered qualified assets and may be utilized to calculate income:

- 100% of checking, savings, and money market accounts.
- 100% of the remaining value of stocks & bonds.
- 70% of 401(k), Retirement assets (if under 59 ½ years old).
- 100% of 401(k), Retirement assets (if over 59 ½ years old).
- Business funds must be transferred to the borrower's personal account.
- Foreign Assets need to be seasoned in the borrower U.S. Account for 3 months.
- Trust accounts allowed.

Calculating Qualifying Income

The income calculation is as follows: $\text{Monthly Income} = \text{Net Qualified Assets} / 60 \text{ Months}$.

Rental Income	Rental Income – Departing Residence • Copy of executed lease and verification of security deposit and first-month's rent deposited to borrower's account • May not be leased to a family member • Lease agreement must be for a minimum 12-month term • Qualifying rental income will be gross rents x 75% (25% vacancy factor) Rental Income – All Properties Except Departing Residence Existing rental income required documentation: <u>Full Doc:</u> Recent personal tax return at least 1- year and copy of current unexpired, executed lease (if lease is not current, evidence need to be provided showing lease converted to month-to-month) and at least 2 months proof of current rental income being received (i.e., canceled checks and/or deposits). Rental income must be derived solely from the ownership of rental properties as declared on Schedule E. <u>Alt Doc (Existing Rental Income):</u> Obtain the current active lease together with proof of rent payments received for the most recent 2 months. <u>Full/Alt Doc:</u> Rental income from new lease required documentation: Copy of executed lease and verification of security deposit and first-month's rent deposited to borrower's account. May <i>not</i> be leased to a family member. • Property must have been purchased within the last tax year. • A rental schedule is required in the appraisal report. • Rental income from short leases, Airbnb, VRBO, Homestay, or other vacation rentals (i.e., short-term rentals) will be allowed with a 1-year history of receipt as reported on the borrower's income tax returns for the subject property investment property and refinances only. Evidence that the property is currently being offered for rent in the same manner is required. Market rents cannot be used for short-term rental income. A 1-year history is required and proof of current receipt of rental income being received is required. • Properties defined as a 1-unit property with an accessory dwelling unit (ADU) may use rental income from the accessory unit subject to the following: ○ Appraisal to reflect zoning compliance is legal ○ Permit is not required to establish zoning compliance ○ Appraisal to include at least 1 comparable with an accessory unit ○ The Appraisal report demonstrates that the improvements are typical for the market through analysis of at least 1 comparable property with the same use <i>Continue on next page</i>
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- Multiple ADU's is allowed reviewed case-by-case basis subject to exception only. Factors to consider are marketability, adequately comped, and typical for the market.
 - Appraisal to address quality and that the ADU was built in a workman like manner with no health and safety implicated.
 - Will need to verify zoning allows for properties with an ADU.
- ADU rental income is allowed on purchase transactions.

Less Than 1-year Rental History Received

If the borrower has a current principal residence housing expense and has less than one year history of receiving rental income from the related property or documented property management experience

- Subject Property
 - for a principal residence, rental income in an amount not exceeding PITIA of the subject property can be added to the borrower's gross income, or
 - for an investment property, rental income can only be used to offset the PITIA of the subject property (in other words, it is limited to zero positive cash flow).
- Non-Subject Property (new or newly placed in service less than a year)
 - for a principal residence, rental income added to the borrower's gross monthly income is restricted to an amount not exceeding PITIA of the related property.
 - for an investment property, rental income can only be used to offset the PITIA of the related property (in other words, is limited to zero positive cashflow).

If the borrower does not own a principal residence or does not have a primary housing expense, Rental income on the subject property or the property with less than a year rental history cannot be used.

Vesting in Limited Liability Companies, Partnerships, Corporations, and S Corporations (each, an “Entity”)

Vesting in an Entity requirement:

- Layered or nested entities are not permitted.
- Allowed on investment transactions only
- Business entities are limited to a maximum of 4 owners or members.
- All members, partners, or shareholders of the entity with a 25% or greater ownership interest must complete and sign a 1003 Loan Application and provide personal guarantee (guarantor). Each guarantor’s credit score and creditworthiness will be used to determine qualification and pricing.
- Each member of the entity must receive notice of the loan and its terms prior to closing.
- **Corporation required documents:**
 - Filed Certificate/Articles of Incorporation and all amendments (or equivalent)
 - By-Laws and all amendments
 - Evidence of good standing (not required for corporations formed within the last 12 months)
 - Good standing is always required for the state in which the entity was formed (e.g., certificate, screenshot from state website)
 - If the subject property is not located in the same state in which the entity was formed, evidence of good standing is also required from the state where the subject property is located (e.g., Certificate, screenshot from state website)
 - EIN/TIN (Tax Identification Number)
 - Borrowing Resolution/Corporate Resolution granting authority of signer to enter loan obligation
 - Proof of ownership of all owners (e.g. stock ledger, accountant letter, etc.)
 - Receipt of current year franchise tax payment or clear search
- **Limited Liability Partnership (LLP) required documents:**
 - Filed Partnership Certificate (if a general partnership, filing with the secretary of state (SOS) may not be required)
 - Partnership Agreement and all amendments
 - Evidence of good standing (not required for entities formed within the last 12 months)
 - Good standing is always required for the state in which the entity was formed (e.g., certificate, screenshot from state website)
 - If the subject property is not located in the same state in which the entity was formed, evidence of good standing is also required from the state where the subject property is located (e.g., certificate, screenshot from state website)
 - EIN/TIN (Tax Identification Number)
 - Limited partner consents (where required by partnership agreement)

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- **Limited Liability Company (LLC) required documents:**

- Entity articles of organization or partnership (or equivalent)
- Evidence of good standing (not required for LLCs formed within the last 12 months)
 - Good standing is always required for the state in which the entity was formed (e.g., certificate, screenshot from state website)
 - If the subject property is not located in the same state in which the entity was formed, evidence of good standing is also required from the state where the subject property is located (e.g., certificate, screenshot from state website)
- Entity documents authorizing the guarantor to execute loan documents on behalf of the entity (e.g., Operating Agreement, Certificate of Authorization, etc.). If not available, a Borrowing Certificate is required
 - A borrower certificate is required only when both conditions are met: 1) the LLC is multi-member, and 2) No entity document exists identifying an authorized signer (e.g., operating agreement, authorization certificate or resolution).
 - A borrower certificate is not required when: the LLC is single-member, or the LLC is multi-member and valid signing authority documentation is provided.
- Entity documents that include a list of members/managers and ownership percentage (e.g., organization structure)
- EIN/TIN (Tax Identification Number)

Documents must be completed and signed as follows:

Personal Guarantees are required from the authorized signor(s) who are borrowers on the loan along with any individual with 51% or greater ownership in the entity.

- The loan application, credit report, income, and assets for the authorized signers who are also borrowers on our loan will be used to determine qualification and pricing.
- If the operating agreement does not state an authorized signer, then all entity owners must apply as a borrower and complete 1003 as an individual applicant and credit qualify.

Section labelled "Title will be held in what Name(s)" should be completed with *only* the LLC name

- Signed by individuals
- Personal Guaranty
 - Each individual who is providing a personal guaranty as shown above
- The personal guaranty should be executed at loan closing and dated the same date as the Promissory Note
- Personal guaranty from community property states (AK, AZ, CA, ID, LA NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge.

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	ALL MANAGING MEMBERS ARE REQUIRED TO SIGN SPECIFIC ENTITY DOCUMENTATION AT CLOSING REGARDLESS OF % OF OWNERSHIP- A LEGAL FULLY EXECUTED AGREEMENT ALLOWING ONE MEMBER TO ACT SOLELY ON BEHALF OF THE LLC (COMPANY) IS ALLOWED IF ALL MEMBERS ARE NOT AVAILABLE TO SIGN.
	Collateral and Appraisal Requirements
Eligible Property Types	• 1-4 units attached/detached owner-occupied and investment properties. • 1-unit Second homes. • Condo Warrantable • Condo Non-Warrantable. Refer to Non-Warrantable section of the guide • Condotels
Ineligible Properties	• Acreage greater than 10 acres (appraisal must include total acreage), Agricultural properties including working farms, ranches and orchards* • Unwarrantable condos * Condo in litigation * Condo Gut Conversion * Condo Newly Converted Non-Gut Projects * Co-Ops * Hobby Farms * • Income Producing properties * Log Homes * Manufactured Housing * Mixed Used properties * Properties subject to oil and/or gas leases * Title may not be held in a business name * Unique properties *Timeshare units *Geothermal homes *properties held as leasehold * Log Homes * • Mixed Use *Assisted Living * C5 or C6 property condition * No mortgage loans financing builder inventory is permitted * Tenancy in Commons * • Barndominiums * Padsplits * Model home Leased backs * Leasehold Properties on Tribal Land * Container homes * Commercial
Appraisal Transfer	Allowed. Follow JMAC Appraisal Transfer Policy. The appraisal must be less than 60-days old (less than 120-days at closing) and completed by an Appraisal Management Company.
Appraisal Requirements	• An interior / exterior appraisal is required. • Loan amount >= \$2M requires 2 appraisals or if property is considered Flip Transactions. Refer to Flip Transactions Guideline • Appraisal must be dated no more than 120 days prior to the Note Date. ○ If dated more than 120 days; ▪ A recertification of value is allowed no more than 180 days past Note Date OR ▪ A new appraisal is required. ○ If dated more than 180 days: ▪ A new appraisal is required. • Desk Review Product to be ordered on all loans with an CU Score over 2.5, with the exception of those with a full second appraisal. Desk Review must be in tolerance as outlined in Guidelines. • Declining Markets: If the appraisal indicates the subject property is located in a declining market, the maximum LTV will be reduced by 5%. • Appraisers are not included in any Agency or Government Exclusionary List.

Rural Properties	A property is defined as rural when both of the following exist: • 2 of the 3 comparable properties are more than 5 miles from the subject property • Less than 25% of the surrounding area is developed
Flip Transactions	When the subject property is being resold within 180 days of its acquisition by the seller and the sales price has increased more than 10%, the transaction is considered a “flip.” To determine the 180-day period, the acquisition date (the day the seller became the legal owner of the property) and the purchase date (the day both parties executed the Purchase Agreement should be used. Flip transactions are subject to the following: • Transactions must be an arm’s length, no identity of interest between the buyer, seller or other parties in the sales transaction. • No pattern of previous flipping activity may exist in the last 12 months. Exceptions to ownership transfers may include newly constructed properties, sales by government agencies, properties inherited or acquired through divorce, and sales by the holder of a defaulted loan on a case-by-case. • Property must be marketed openly and fairly, through a multiple listing service, auction, for sale by owner offering (documented) or developer marketing. • No assignments of the contract to another buyer. • If subject property is being purchased for more than 5% above the appraised value, a signed letter of acknowledgement from the borrower must be obtained. • Sufficient documentation to validate the actual cost to construct or renovate (e.g., purchase contracts, plans and specifications, receipts, invoices, lien waivers, etc.) must be provided. On a purchase transaction, a second Appraisal is required if: • If the seller acquired the property within the past 90 days and the new purchase price is more than 10% of the seller’s acquisition price: <i>or</i> • If the seller acquired the property within the past 91 to 180 days and the new purchase price is more than 20% of the seller’s acquisition price. • The second Appraisal must be obtained prior to the Promissory Note date. • A second Appraisal must be provided for the borrower (standard delivery requirements apply). • The cost of the second Appraisal may not be passed along to the borrower. • NOTE: TIMELINES ARE MEASURED FROM THE DATE THE SELLER BECAME THE LEGAL OWNER OF THE PROPERTY AND THE DATE THE PURCHASE AGREEMENT WAS SIGNED BY ALL PARTIES. • Flip transactions must comply with the HPML appraisal rules in Regulation Z. The full Reg Z revisions can be found at: https://www.consumerfinance.gov/compliance/compliance-resources/mortgageresources/higher-priced-mortgage-loans-appraisal-rule/

**Primary and Second
Home General
Project Criteria**

- Project has been created and exists in full compliance with local jurisdiction, State and all other applicable laws and regulations.
- Minimum square footage is 400 Sq. Ft.
- Projects must meet FNMA insurance requirements.
- Common elements and facilities, such as recreational facilities and parking are completed.
- No more than 20% of units may be 60 or more days past due.
- No more than 40% of total project square footage are commercial in nature
- If a new project is defined by FNMA, the subject phase is 100% completed.
- Any litigation requires a copy of the complaint and email from insurance company indicating they are representing the condo (exception for slip and fall, foreclosure or other non-cash issues)
- For full review condo's the reserve requirement is 10% of HOA assessments.
- Mortgagee may not be responsible for delinquent HOA dues that exceed FNMA requirements
- No single entity may own greater than 30% of total units
- For new projects, the legal documents must contain language that establish mortgagee rights in the event of foreclosure and conditions under which the homeowners take control of the HOA.
- The condo project must have addressed any issues with safety, soundness or habitability of the complex. Additional documentation required based on the situation.

Florida Condominiums:

- Structural inspections will **not** be automatically required based on project age, height, or proximity to the coast. However, if a recently completed engineer's report (within the past three years) is available **or** there is evidence of critical repairs, deferred maintenance, or safety-related concerns, the applicable documentation will be conditioned for review.
- LTV > 70% requires full condo review

California Condominiums:

- SB 326 inspection requirements will not be automatically required as part of the condominium review. If a recently completed engineer's report (within the past three years) is available or there is evidence of critical repairs, deferred maintenance, or safety-related concerns related to exterior elevated elements or overall structural integrity, the applicable documentation will be conditioned for review.

Condotels:

- Condotels are not permitted for primary or second home. Condotel requires full condo review. Non-warrantable condotels are subject to eligibility criteria and are reviewed on a case-by-case basis.

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- The report must include the following information:
 - A list of the building parts that were inspected
 - A description of the present physical condition of the inspected elements
 - A statement about whether the inspected parts are dangerous to the residents or not
 - An estimate of how long the inspected parts are expected to last and how they are expected to perform in the future.
 - A list of repairs that need to be made, categorizing it as emergency or nonemergency. Any emergency repairs that could be hazardous for the residents will be reported to the building department's code enforcement agency immediately. Non-emergency repairs will be reported to the condominium association's board.

Types of Condos Eligible for Condominium Review Waiver:

- Detached (Site) Condominium
- 2-4 Unit Condominiums
- Planned Unit Developments (PUDs)

In addition, the condo must have sufficient building coverage (with replacement cost included) that includes all common areas as well as HO-6 (if walls-in, with betterments and improvements is not included in master insurance coverage) as well as flood insurance coverage (if applicable)

New and Established Condominium Project Definitions

New Projects	Established Projects
40% of the total units in the project or subjects phase must be sold or conveyed to unit owners and at least 40% of the units must be owner occupied	90% or total units in project must be sold.
Project or subjects' legal phase must be complete. All common elements in the projector legal phase must be 100% complete.	40% of total units in project must be owner occupied.
Project may be subject to additional phasing	All phase are completed
Project may be subject to additional phasing. HOA should be in control – project under Developer or Builder control will be considered on a case-by-case basis only.	HOA should be in control -project under developer or builder control not allowed

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Condominium Conversions

A condominium conversion is the conversion of an existing building to a condominium project. Project conversions legally created in the last 12 months and meet the new condo presale requirements.

For all condominium projects a condominium Project Questionnaire review is required. The completed condominium project questionnaire must reflect compliance with the following requirements:

- No more than 20% of units may be more than 60 days past due.
- No single entity, borrower or investment group may own more than 30% of total units.
- No more than 40% of total square footage may be used for commercial purposes.
- Questions regarding the condition of the condo will need to be answered or copies of the most recent 90 days of HOA meeting minutes will need to be reviewed.

Limited Review

Limited Review Condominiums require the following:

- All units, common elements/amenities including Master Association, phases and annexation/add-ons are 100% complete.
- 90% of units are sold and closed.
- HOA control has been turned over to the unit owners.
- Completed, signed and dated, questionnaire
- Master Building Insurance (With replacement costs in addition to Building Ordinance and Law Coverage (Coverages A, B, C) Inflation Guard
- HO-6 (If master insurance does not include walls-in coverage, with betterments and improvements.
- Flood Insurance, If applicable
- The LTV is:
 - Primary residence (outside of Florida) $\leq$ 75% LTV
 - Second home (outside of Florida) $\leq$ 70% LTV
 - Florida (Primary and Second home) $\leq$ 70% LTV

New Condos

New condos, as defined by FNMA, require a copy of the declarations and By-Laws (CCRs) and all amendments in addition to the documents required for a full review.

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Condominium Documentation

- Questionnaire: For limited or full review. Will accept outside document if it contains all information as required
- Current Approved Budget: For current year or for current fiscal year. Must include 10%-line item expense for reserves
- Condominium Insurance Requirements

Insurance Coverage

- Borrower must carry HO-6 coverage for replacement of such items as flooring, wall covering, cabinets, fixtures, built-ins, and any improvements made to the unit. Project meets all Fannie Mae insurance requirements for property, liability, and fidelity coverage
- Fidelity of Employee Dishonesty Insurance for Condominium
- Fidelity bond coverage is required for condominium projects over 20 units (or per state requirements). The insurance coverage must be at least equal to the greater of 3 months HOA dues or reserves or minimum required by state law. Coverage is not required when the calculated amount is \$5,000 or less.

HO-6

- If the master or blanket policy does not provide interior unit coverage (replacement of improvements and betterment coverage to cover any improvements that the borrower may have made) the borrower in an amount as established by the HO-6 insurer.
- THE MAXIMUM DEDUCTIBLE AMOUNT MUST BE NO GREATER THAN 5% OF THE FACE AMOUNT OF THE POLICY.

Flood Insurance

The condominium homeowners' association must obtain an NFIP Residential Condominium Building Association Policy (RCBAP) with the following coverage:

- Building Coverage must equal the lesser of:
 - 100% of the insurable value (replacement cost) of the building, including amounts to repair or replace the foundation and its supporting structure); or
 - The total number of units in the condominium building times \$250,000.
- Contents Coverage must equal the lesser of:
 - 100% of the insurable value of all contents (including machinery and equipment that are not part of the building) that are owned in common by the association members; or
 - The maximum amount of contents coverage sold by the NFIP for a condominium building.

Non-Warrantable Condos

- For Non-Warrantable Condo Properties, LTV restrictions may apply. See Product-specific LTV Matrices for details.

Characteristic	Exception Considerations
Commercial space	Commercial space in building/project up to 50%.
Completion Status	The project, or the subject's legal phase along with other phases, must be complete. All common elements in the project or legal phase must be 100% completed. At least 50% must be sold or under a bona-fide contract.
Delinquent HOA Dues	No more than 30% of the total units in the project may be 60 days or more past due on the payment of condominium/association fees.
Investor Concentration	Investor concentration in project up to 60%.
HOA Control	The developer may be in control of the condominium association provided the Master Agreement provides for the homeowners to take control upon either a predetermined percentage of unit sales or within a defined time period.
Insurance Deductible	Deductible for all insurances have a maximum of 10%
HOA Reserves	Less than 10% reserves allowed under the following conditions: (Will require copy of current balance sheet) • 7% - 9.99% if condo has cash assets that equal 25% of HOA assessments as listed on current year budget. • 5% - 6.99% if condo has cash assets that equal 50% of HOA assessments as listed on current year budget. • 3. 3% - 4.99% if condo has cash assets that equal 75% of HOA assessments as listed on current year budget.
New Projects	The project or the subject's legal phase along with other phases must be complete. All common areas in the project must be 100% complete. A minimum of 50% of units must be sold or under contract.
Budget	The budget for the condominium is not available.
Single Entity Ownership	Single entity ownership in project up to 50%.
Litigation	Pending litigation may be accepted on a case-by-case basis. Litigation that involves structural issues, health and safety issues or items that will impact the marketability of the project will not be accepted And Potential damages do not exceed 25% of the HOA reserves (Would require a copy of the current balance sheet) OR Documentation must be provided by the insurance carrier or the attorney representing the insurance carrier that the insurance carrier has agreed to provide the defense and the association's insurance policy is sufficient to cover the litigation.

Ineligible Projects:

- Multi-family units where a single deed conveys ownership of more than one, or all of the units.
- A common-interest apartment
- A project in which individuals have an undivided interest in a residential apartment building and land and have the right of exclusive occupancy of a specific apartment unit in the building.

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	• The project or building is often owned by several owners as tenants-in-common or by a homeowners' association. • Fragmented or segmented ownership • Ownership is limited to a specific period on a recurring basis (i.e., timeshare, quarter share). • Any project where the developer (or its affiliates) owns the Common and/or Limited Elements and leases the elements back to the HOA. • Any project that has non-conforming zoning (can't be rebuilt to current density). • Any project that requires Private Transfer Fees as a part of the transaction, and those fees do not benefit the association. • A project subject to the rules and regulations of the U.S. Securities and Exchange Commission (SEC). • Timeshare or projects that restrict the owner's ability to occupy the unit. • Houseboat project. • Manufactured home projects. • Assisted living facilities or any project where the unit owner's contract includes a lifetime commitment from the facility to care for the unit owner regardless of future health or housing needs. • Projects with non-incidental business operations owned or operated by the homeowners' association (such as a restaurant, spa, health club, etc.). • Projects with units used for "live-work." • Projects managed and operated as a hotel or motel. • Any project in need of critical repairs with one of the following characteristics: mold, water intrusions or potentially damaging leaks to the project's building(s); or unfunded repairs costing more than \$10,000 per unit undertaken within the next 12 months (does not include repairs made by the unit owner or repairs funded through special assessment). • Any project with significantly deferred maintenance or has received a directive from a regulatory or inspection agency to mark repairs due to unsafe conditions. • If any inspection reports completed in the last 2 years show any critical repairs that have not been remedy.
	General Guidelines
Seller Concessions	• Contributions from a real estate agent/broker or mortgage originator may be allowed if the max contribution percentages are not exceeded for total contributions paid on behalf of the borrower and the dollar amount does not exceed the dollar amount of non-reoccurring closing costs. • The percentage is based on the lesser of the property's sales price or appraised value and may be applied toward the buyer's closing costs, prepaid expenses, discount points, and other financing concessions. • 6% Max: Owner Occupied, Second Homes and Investment transactions <i>Continue on next page</i>

	- The value of sales concessions must be deducted from the sales price when calculating LTV for underwriting and eligibility purposes. The LTV is calculated using the lower of the reduced purchase price or the appraised value. - Interested party contributions may only be used for closing costs and prepaid expenses (financing concessions) and may never be applied to any portion of the down payment or contribute to the borrower's financial reserve requirements. If an IPC is present, then the sales price is reduced by the concession amount that exceeds the limits referenced above - Allowances for any repairs, item replacement, condition of property, or recurring closing incentives are not allowed and must be subtracted from the purchase price for calculation of LTV/CLTV.
Non-Arm's Length Transaction	Non-Arm's Length transactions involve a direct relationship outside of the subject transaction between a borrower and a party to the loan. The appraiser must be informed of the relationship and address any impact on market value. Examples of non-arm's length transactions include, but are not limited to, the following: - Family member sales - Renters purchasing from current landlord - Property seller foreclosure bailouts - Existing buyer relationship with loan officer, real estate agents, closing agent, appraiser, builder, or developer. Non-arm's length transactions are subject to all the following requirements: - Relationship must be fully disclosed - Borrower to provide a written explanation stating relationship to the seller and reason for purchase - Borrower to provide a copy of the canceled earnest money check paid to the property seller - Employer to employee transactions not allowed - No occupancy concerns - All liens on title to be paid in full and reflected on the settlement statement - Lesser of sales price or current appraised value to be used to calculate the LTV - Borrowers cannot provide services on transaction (closing agent, title agent, appraiser, etc.) - The borrower may not be an owner of a business entity selling the subject property. (unless they are buying out a co-owner) - Borrower(s)/ Buyer(s) representing themselves as agent in real estate transaction - Seller(s) representing themselves as agent in real estate transaction is allowed - Renters purchasing from current landlord must provide most recent 12 months evidence of rental payments and copy of lease agreement - Property trades between buyer and seller not allowed - Commission earned by buyer/borrower cannot be used for down payment, closing costs, or monthly PITIA reserves but can be included in the interested party contributions up to 3% maximum <i>Continue on next page</i>

	The following additional requirements apply only to family sales: • Payment history for the seller's mortgage on the subject property must be obtained and show no pattern of delinquency within the past 12 months (if applicable) • Verification the borrower has not been on title to the property in the past 24 months • Gift of equity is permitted only for primary occupancy • NOTE: NEW CONSTRUCTION IS NOT PERMITTED
Interested Party Transaction/Conflict of Interest	A Conflict-of-Interest transaction occurs when the borrower has an affiliation or relationship with the mortgage broker, loan officer, real estate broker or agent, or any other interested party to the transaction. In the case of the mortgage broker, loan officer, or real estate broker/agent, extra due diligence must be exercised. For example, the seller's real estate agent for the subject property may not act as the loan officer for the borrower(s) purchasing the same subject property. An examination of the relationship among the mortgage broker, title/escrow companies, appraiser, and any other party to the transaction must be closely examined. A letter of explanation regarding the relationship between the parties is required.
Inherited Properties and Property Buyouts	Refinances of inherited properties and properties legally awarded to the borrower (divorce, separation, or dissolution of a domestic partnership) are allowed. If the subject property was acquired less than 12 months prior to loan closing, the transaction is considered a cash out. <u>These transactions are subject to the following:</u> • Written agreement signed by all parties stating the terms of the buyout and property transfer must be obtained • Equity owners must be paid through settlement • Subject property has cleared probate, and property is vested in the borrower's name • Current appraised value is used to determine LTV
Permanent Financing for New Construction (Construction to Permanent)	The conversion of construction-to-permanent financing involves the granting of a long-term mortgage to a borrower to replace interim construction financing obtained by the borrower to fund the construction of a new residence. The borrower must hold title to the lot, which may have been previously acquired or purchased as part of the transaction. When a refinance transaction is used, the borrower must have held legal title to the lot before they applied for the construction financing and must be named as the borrower for the construction loan. A construction-to-permanent transaction may be closed as a rate and term refinance or cash out refinance. ALL CONSTRUCTION WORK MUST BE COMPLETE For lots owned ≥ 12 months from application date for the subject transaction, LTV is based on the current appraised value. For lots owned < 12 months from application date for subject transaction, LTV is based on the lesser of the current appraised value of the property or the total acquisition costs (sum of construction costs and purchase price of lot).

Lease with Purchase Option	A Lease Option to Purchase is an agreement to lease a property for a specified period of time at an agreed upon monthly rent payment, in which a portion of the payments in excess of the market rents will be applied toward the down payment. Once the potential buyer has satisfied the terms of the down payment, they may execute the option to purchase the property at the agreed upon sales price in the Lease Option to Purchase Agreement. This may also be utilized for a “Land Contract” or “Contract for Deed” purchase. All lease option to purchase transactions require the following: • All parties to the transaction must execute the agreement; • The agreement must disclose the time of the option to purchase, amount of the earnest money deposit, and the terms of the monthly rent payments • The terms of the monthly rent payments must include a specific and reasonable amount (dollar amount or percentage) in excess of the monthly rent payments that will be credited toward the down payment via comparison to fair market rents (which requires a 1007/1025 for underwriter review); ○ Proof of the borrower’s earnest money via a deposit (canceled check); <i>and</i> ○ Copy of canceled checks (front & back) for the monthly rent payment covering the last 12 months. • Must meet requirements of Non-Arm’s Length Transactions. NOTE: LEASE OPTION TRANSACTIONS THAT DO NOT INVOLVE AN EARNEST MONEY DEPOSIT OR “SWEAT EQUITY” INCLUDING RECEIPT(S) FOR MATERIALS AND / OR MONTHLY RENT IN EXCESS OF PROVEN MARKET RENTS WILL NOT BE CONSIDERED A LEASE OPTION TO PURCHASE AND MUST COMPLY WITH STANDARD PURCHASE MONEY REQUIREMENTS. A Lease Option will always be a purchase from the standpoint that the transaction will transfer ownership. This is relevant because it is required to issue a purchase form LE & CD (versus a refinance form LE & CD); however, in deference to the purchase price, as a separate calculation for the handling of LTV, under certain circumstances as defined below, LTV will be calculated using the current reconciled market value in lieu of the purchase price. The value for determining the LTV will be the purchase price reflected on the option agreement or the appraised value, whichever is less, if: The borrower’s earnest money deposit is less than 3% of the sales price; <i>or</i> the lease option agreement is executed within the last 12 months. The value for determining the LTV will be the current reconciled market value, if: the borrower(s) has(have) occupied the subject property for the last twelve (12) months; and the Lease Option Agreement is executed greater than twelve (12) months ago; and the borrower(s) has equal to or greater than 3% of the sales price invested by: • Earnest money deposit; <i>or</i> • the Optionee provided “sweat equity” in the form of property improvements with receipts for materials as well as a detailed list of all such improvements including time to completion
Rent Back	Follow FNMA Guidelines
1031 Exchange	Are permitted for down payment and cash to close only and needs to be like exchange.

Escrows	Escrow is required if one of the following applies: • Escrows for taxes and insurance will be required for all HPMLs (High Price Mortgage Loans) required for all loans. • Escrows cannot be waived if subject property is located in a FEMA flood zone where flood insurance is required. • Full and Alt Doc: Not Required • ITIN Alt Doc: Required for LTV > 80%
State Restrictions	• Baltimore City, MD not eligible for investment transactions • Philadelphia County, PA not eligible for investment transactions • Illinois Land Trusts are ineligible
Property Insurance	• RCE Not permitted in Florida • Refer to FNMA guidelines. A homeowner insurance policy must be obtained with replacement cost coverage equal to the <i>lesser</i> of the following: ○ 100% of the insurable value of the improvements, as established by the property insurer; or ○ The unpaid principal balance of the mortgage, so long as it equals at least 80% of the insurable value of the improvements required to compensate for damage or loss on a replacement cost basis. • Condominiums: Individual condo units must obtain a HO-6 Policy unless the Master Condo policy included walls in coverage. • All 3–4-unit Primary residence properties require Rent-Loss coverage equal to or greater than 6 months of total gross rents. • All Investment properties (including condominiums) require Rent-Loss coverage equal to or greater than 6 months of total gross rents. • Properties located in Flood Zone must obtain Flood insurance with coverage of at least the <i>lower</i> of: ○ 100% of the replacement cost of the insurable value of the improvements, ○ The unpaid principal balance of the mortgage loan, or; ○ The maximum insurance available from the NFIP.
Subordinate Financing	New and existing junior liens secured by the subject property and subordinating to the first mortgage is allowed based on program matrices provided the following is met: • The combined LTV of the first and subordinating junior lien(s) may not exceed program thresholds. • The junior lien must be from an institutional lender. • The existing junior lien must have a remaining term of at least 5 years. • The terms of the Promissory Note must provide for regular monthly payments of at least interest only with no provisions for future advances, or wrap-around terms. • The principal and / or interest payment must be added to the monthly DTI. • A copy of the executed Promissory Note on the subordinating junior lien(s) must be obtained and included in the loan file. The Promissory Note must be reviewed and approved by the underwriter prior to ordering loan documents. • A certified copy of the fully executed Subordination Agreement must be reviewed and approved by the underwriter prior to funding the loan. The Subordination Agreement must record concurrently with the first mortgage / deed of trust.

Secondary Financing	Secondary or subordinate financing is allowed with a maximum CLTV equaling maximum LTV per program matrices. Secondary financing must be institutional; private party secondary financing is not allowed. Existing secondary financing must be subordinated and recorded or refinanced. HELOC CLTV must be calculated at the maximum available line amount (HCLTV) unless the borrower can provide documentation showing the line of credit is past its draw period. NO SELLER CARRYBACKS. The following is required for new secondary or subordinate financing: • A copy of the loan approval and repayment terms for the new financing • An unsigned copy of the subordination agreement prior to closing • A copy of the executed subordination agreement at closing • A copy of the executed Promissory Note at closing The following is required for existing secondary or subordinate financing: • The repayment terms of the existing second lien • An unsigned copy of the subordination agreement prior to closing • A copy of the executed subordination agreement at closing The following requirements apply to all subordinate liens: • Seller-held subordinate liens are not permitted • Subordinate financing must be recorded and clearly subordinate to the new mortgage • Payment on the subordinate financing must be included in the borrower's DTI, or the DSCR calculation. If a payment is unable to be determined, 1.5% of the original loan balance can be used • If the debt is an equity line of credit, the CLTV is calculated by adding the total HELOC credit line limit (rather than the amount of the HELOC in use) to the first mortgage amount (HCLTV), plus any other subordinate financing, and dividing that sum by the value of the property • Negative amortization is not allowed, and the scheduled payments must be sufficient to cover at least the interest due • Subordinate financing from the borrower's employer may not include a provision requiring payment upon termination • Max HCLTV equals max LTV on transaction
Home Equity Line of Credit	When secondary or subordinate financing is a Home Equity Line of Credit (HELOC) the following must be met: • The property being financed should be owner occupied • The calculation of the CLTV should include the total usable HELOC (TLTV) • A copy of the Promissory Note for the HELOC must be obtained to determine the payment based on the interest rate in effect for the HELOC on the date that the loan application is underwritten
Title Insurance	Title insurance amounts must be sufficient to cover the loan amount.

Document Age	Income and credit documentation must be within 90 days of the note date		
Exhibit A – VISA	EAD and VISA classifications are allowed as non-permanent resident alien.		
	VISA	Valid EAD Card	Description
	B1/A3/G5	C17	Non-immigrant domestic servant (Visa and Valid EAD Card must be combined)
	E-1, 2, or spouse of E-1,2 (spouse does not get a diff no. for this category)	A17	Treaty/Trade investor or spouse
	E-3	N	Specialty occupation – Australia
	G-1,2,3,4,5	N/C04 spouses & child:C04	Employees of international organizations and NATO; spouses and children
	H1-B	N	Foreign nationals working in the U.S. in a specialty occupation
	H-4	N/A	Spouse or child H type
	L, L-1a and L-1b	N	Intracompany transferees
		C31	Principal beneficiary or qualified child of approved VAWA self-petition
		C33	DACA
		C10	Nicaraguan Adjustment & Central American Relief act
		C08	Asylum applicant, status pending
	O-1A/-1B/-O2	N	Extraordinary ability in science, education, the arts, business or athletics
	R-1	N	Religious workers
	T-1-4	A16 or C25	Victim or spouse or child or parents of victim of human trafficking
	TC NAFTA, TN, TD	N	Canadian or Mexican citizens working in the U.S.